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IN THE UNITED STATES DISTRICT COURT
FOR THE NORTHERN MARIANA ISLANDS
BANKRUPTCY DIVISION

In re IMPERIAL PACIFIC INTERNATIONAL (CNMI), LLC, Debtor and Debtor-in-Possession.	Case No. 1:24-0bk-00002 Chapter 11 **MEMORANDUM OF LAW IN SUPPORT OF MOTION BY JUDGMENT CREDITORS JOSHUA GRAY AND U.S.A. FANTER FOR ENTRY OF AN ORDER UNDER 11 U.S.C. §§ 361, 362 AND 541** Hearing Date: TBD Hearing Time: TBD Judge: Hon. Ramona V. Manglona

MEMORANDUM OF LAW IN SUPPORT OF MOTION BY JUDGMENT CREDITORS JOSHUA GRAY AND U.S.A. FANTER FOR ENTRY OF AN ORDER UNDER 11 U.S.C. §§ 361, 362 AND 541

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TABLE OF CONTENTS

TABLE OF CONTENTS

TABLE OF AUTHORITIES ..... **Page** ii

PRELIMINARY STATEMENT 1

JURISDICTION AND VENUE 2

BACKGROUND 2

Fanter's Judgment and Levy on Personal Property 3

Gray's Judgment and Levy on the Personal Property 4

Clear's Liquidation of the Personal Property Despite IPI's Interference 5

The Liquidation Generally 5

The Liquor Inventory 6

The Vehicles and Heavy Equipment 7

The Art and Other Personal Property 8

Gray's Petition for Attorney's Fees 8

RELIEF REQUESTED 9

BASIS FOR RELIEF REQUESTED 9

A. The Personal Property levied upon by Movants is no longer "property of the estate" under Bankruptcy Code §541 and, therefore, is not subject to the automatic stay under Bankruptcy Code §362 9

B. If the Personal Property is not outside the Debtor's estate, then the automatic stay should be lifted so that the liquidation of these items may continue 13

1. There exists "cause" for the Court to lift the automatic stay to permit the liquidation to proceed 13

2. The automatic stay should also be lifted under Bankruptcy Code §362(d)(2) because the Debtor has no equity in the Personal Property and it is not necessary for an effective reorganization 18

i

TABLE OF AUTHORITIES

TABLE OF AUTHORITIES

Cases **Page(s)**

Butner v. United States, 440 U.S. 48 (1979) 10

Commonwealth v. Lot No. 218-5 R/W, Nos. 2013-SCC-0006-CIV & 2013-SCC-00230-CIV, 2016 WL 7468001 (N.M.I. Super. Ct. Dec. 28, 2016) 3, 11

Fanter v. IPI, 20-cv-0035 (D.N. Mar. I., June 16, 2023), ECF No. 419 ..... 3, 4, 22

Freeman v. Cal. Franchise Tax Bd., No. 18-CV-04501, 2019 WL 3412938 (N.D. Cal. July 29, 2019) 2, 5, 12

Gray v. IPI, No. 19-cv-0008 (D.N. Mar. I., May 30, 2023), ECF 225 ..... passim

In re Am. Spectrum Realty, Inc., 540 B.R. 730 (Bankr. C.D. Cal. 2015) 14, 17

In re Curtis, 40 B.R. 795 (Bankr. D. Utah 1984) 14, 23

In re Daws, 13 B.R. 101 (Bankr. D. Haw. 1981) 21

In re Deico, 139 B.R. 945 (B.A.P. 9th Cir. 1992) 21

In re Dennis Meyer Danzik, 549 B.R. 804 (Bankr. D. Wyo. 2016) 14

In re Indian Palms Assocs., Ltd., 61 F.3d 197 (3d Cir. 1995) 18

In re Junior Larry Hillbroom Litigation, No. 20-cv-0009, 2020 WL 6572669 (D.N. Mar. I. Oct. 26, 2020) 11

In re Kronemyer, 405 B.R. 915 (B.A.P. 9th Cir. 2009) 13

In re LPM Corp., 253 B.R. 914 (Bankr. S.D. Cal. 2000) 11

In re Monroe Park, 17 B.R. 934 (D.C. Del. 1982) 21

In re NMP Concord II, LLC, No. 10-43080, 2010 WL 3488249 (Bankr. N.D. Cal. Sept. 1, 2010) 18, 19, 20

In re Perl, 811 F.3d 1120 (9th Cir. 2016) 11

Statutes

11 U.S.C. § 362 5

11 U.S.C. § 541 5

11 U.S.C. §§ 1107, 1108 3

28 U.S.C. §§ 1408, 1409 2

28 U.S.C. §§ 157, 1334(b) 2

48 U.S.C. § 1822 2

Rules

Fed. R. Bankr. P. 4001(a) 2

Local Bankruptcy Rules

LBR 4001-1 2

PRELIMINARY STATEMENT

Joshua Gray ("Gray") and U.S.A. Fanter ("Fanter") (together, "Movants") are judgment creditors of the debtor and debtor in possession in the above-captioned Chapter 11 case, Imperial Pacific International (CNMI), LLC (the "Debtor" or "IPI"). Prior to the Debtor's bankruptcy petition, Movants acted expeditiously to obtain writs of execution, levy upon those writs, and begin liquidating the property subject to those writs (the "Personal Property")—and they should be allowed to proceed.

The automatic stay has been devastating to Clear Management, Ltd. ("Clear"), who spent $40,550 preparing for a vehicle auction, whose staff member has now left because no work can be done, and who is fielding emails from bidders asking that their money be returned. Movants will suffer as the Personal Property depreciates and may be damaged or stolen if the stay is not lifted. By contrast, the Debtor has no ownership interest in the Personal Property and it is not needed for a reorganization. Therefore, Movants request that this Court permit the liquidation to proceed.

Specifically, Movants respectfully submit this motion for entry of an Order pursuant to §§ 362(d)(1) and 541 of Title 11, United States Code (the "Bankruptcy Code"), Rule 4001(a) of the Federal Rules of Bankruptcy Procedure (the "Bankruptcy Rules"), and Local Bankruptcy Rule 4001-1: (1) finding that the Personal Property levied upon by Movants is not "property of the estate" under Bankruptcy Code §541 and thus the automatic stay does not apply to the continued liquidation of that property to satisfy Movants' judgments; (2) to the extent the Court holds that the Personal Property is property of the estate, pursuant to Bankruptcy Code §362(d), modifying and lifting the automatic stay to allow Gray and Fanter to exercise their rights and remedies available under the prior Orders of the District Court (defined below) with respect to the Personal Property because (a) there exists "cause" to lift the stay under §362(d)(1), and/or (b) the Debtor does not have an equity in the Personal Property and such property is not necessary to an effective reorganization under §362(d)(2); (3) requiring the

Debtor to make "adequate protection" payments to Gray and Fanter for any diminution in value of the Personal Property under Bankruptcy Code §361 caused by the delay in lifting the stay; and (4) modifying and lifting the automatic stay under Bankruptcy Code § 362 to permit the District Court to decide Gray's pending and fully-briefed petition for attorneys' fees. This Motion is supported by the declarations of Aaron Halegua and Tim Shepherd, each dated May 12, 2024, and the exhibits attached thereto, as well as other prior declarations and filings submitted in Gray's and Fanter's cases pending before the District Court.

JURISDICTION AND VENUE

1. This Court has jurisdiction over this matter pursuant to 28 U.S.C. §§ 1334(b) and 157, and 48 U.S.C. § 1822. This is a core proceeding pursuant to 28 U.S.C. § 157(b)(2)(G).

2. Movants consent to entry of a final judgment by the Court solely in connection with this Motion to the extent it is later determined that the Court, absent consent of the parties, cannot enter final orders or judgments in connection herewith consistent with Article III of the United States Constitution.

3. Venue is proper before this Court pursuant to 28 U.S.C. §§ 1408 and 1409.

4. The statutory and legal predicates for the relief requested herein are Bankruptcy Code §§ 361, 362 and 541, Bankruptcy Rule 4001(a), and Local Bankruptcy Rule 4001-1.

BACKGROUND

5. On April 19, 2024 (the "Petition Date"), the Debtor filed a voluntary petition under Chapter 11 of the Bankruptcy Code with this Court. (ECF No. 1)

6. On April 23, 2024, the Debtor filed a series of "First Day Motions" (ECF Nos. 9–15), and asked them to be heard on shortened notice (ECF No. 16), which this Court granted (ECF No. 20). This Court declined to rule on most of the "First Day Motions" because the Debtor provided insufficient financial or other information to support its requests for relief (ECF No. 32);

7. As of the date of this Motion, the Debtor has not filed a declaration under Bankruptcy Rule 1007, Schedules of Assets and Liabilities, a Statement of Financial Affairs, or indicated in any pleading the reason for the bankruptcy filing or a viable reorganization plan demonstrating how the Debtor intends to emerge from Chapter 11.

8. As of the date of this Motion, the Debtor is authorized to manage its property and operate its business as a debtor-in-possession pursuant to Bankruptcy Code §§ 1107(a) and 1108.

Fanter's Judgment and Levy on the Personal Property

9. On November 30, 2022, a judgment was entered against the Debtor in favor of Fanter in the amount of $226,127.05 plus post-judgment interest, in the case titled *U.S.A. Fanter v. IPI*, No. 21-cv-0035 ("*Fanter*") pending in the U.S. District Court for the Northern Mariana Islands (the "District Court"). This judgment (*Fanter*, ECF No. 34) is hereinafter referred to as the "Fanter Judgment."

10. On February 8, 2023, Fanter sought a Writ of Execution against the Debtor's motor vehicles and heavy equipment (*id.*, ECF No. 35 ("Fanter Writ")), which was granted by the Court on June 16, 2023 (*id.*, ECF No. 37). (The specific list of property is identified in *Fanter*, ECF No. 35-4).

11. On July 18, 2023, the U.S. Marshals Service filed a notice with the District Court affirming that the Fanter Writ was executed on the Debtor by serving it on Howyo Chi. (*Id.*, ECF No. 39).

12. On October 19, 2023, the District Court granted Fanter's motion to appoint Clear Management, Ltd. ("Clear") as a limited receiver to liquidate the vehicles and heavy equipment. (*Id.*, ECF No. 49 (the "Fanter Receivership Order")).[1]

Movants are advised that Clear is reviewing the applicability of Bankruptcy Code §543(d), and its rights or obligations thereunder, and will advise the Court of its intentions in the near future.

[1] Movants are advised that Clear is reviewing the applicability of Bankruptcy Code §543(d), and its rights or obligations thereunder, and will advise the Court of its intentions in the near future.

13. On January 22, 2024, Clear filed an inventory of the vehicles and heavy equipment that it intended to sell. (*Id.*, ECF No. 251). The Debtor did not file any objections in that case. These items are part of the "Personal Property" defined above.

Gray's Judgment and Levy on the Personal Property

14. On May 31, 2023, in the action titled *Gray v. IPI*, No. 19-cv-0008 ("*Gray*"), pending in the District Court, the District Court entered judgment in favor of Gray against the Debtor in the amount of $5,686,182.20, plus pre-judgment interest, post-judgment interest, and attorneys' fees and costs. (*Gray*, ECF No. 226 (the "Gray Judgment")).

15. Since the Debtor has neither posted a bond nor satisfied the Gray Judgment, on July 3, 2023, Gray sought a writ of execution from the District Court as to six enumerated categories of personal property as well as "any other non-exempt personal property" of IPI. (*Id.*, ECF No. 231 (collectively part of the "Personal Property" defined above)). These categories include "IPI's Vehicles" to the extent that any unsold vehicles or funds remained after the Fanter Judgment has been satisfied. (*Id.* at 6). The Debtor did not file a timely opposition to that application.

16. On August 16, 2023, the District Court issued a writ of execution as requested by Gray. (*Id.*, ECF No. 247 (the "Gray Writ")). The Gray Writ instructed that after it has been executed by the U.S. Marshals, IPI would have fourteen days to file any exceptions in writing. (*Id.*). The same day, the Clerk of the District Court issued a Notice about the Gray Writ, which also informed the Debtor of its rights and the procedure for raising any objections. (*Id.*, ECF No. 248).

17. On August 21, 2023, the U.S. Marshals Service filed a notice affirming that the Gray Writ was executed by serving it on Howyo Chi. (*Id.*, ECF No. 251).

18. On September 7, 2023, Gray filed a petition for an Order to Show Cause why Clear should not be appointed to liquidate the Personal Property. (ECF No. 254). Despite objections from the Debtor

RELIEF REQUESTED

36. Movants respectfully seek entry of an Order finding that the Personal Property is not property of the estate under Bankruptcy Code §541 and, therefore, the automatic stay does not apply with respect to the continued liquidation of the Personal Property to satisfy Movants' judgments.

37. To the extent that this Court finds that the Personal Property is property of the estate, a legal conclusion Movants do not concede in making this alternative argument, Movants request entry of an Order pursuant to Bankruptcy Code §362(d) modifying and lifting the automatic stay to allow Movants to continue liquidating the Personal Property pursuant to the Receivership Orders and applying the proceeds towards their judgments because (a) "cause" exists sufficient to lift the stay under §362(d)(1), and/or (b) the Debtor does not have an equity in the Personal Property and such property is not necessary to an effective reorganization under §362(d)(2).

38. Movants request entry of an Order under Bankruptcy Code §361 requiring the Debtor to immediately commence making "adequate protection" payments to Movants for any diminution in value of the Personal Property until the stay is lifted.

39. Lastly, Gray seeks entry of an Order modifying and lifting the automatic stay under Bankruptcy Code §362(d)(1) to permit the District Court to decide Gray's pending and fully-briefed petition for attorneys' fees in order to liquidate Gray's claim.

BASIS FOR RELIEF REQUESTED

A. The Personal Property levied upon by Movants is no longer "property of the estate" under Bankruptcy Code §541 and, therefore, is not subject to the automatic stay under Bankruptcy Code §362.

40. Bankruptcy Code §362(a)(2) operates as a stay against "the enforcement, against the debtor or any *property of the estate*, of a judgment obtained before the commencement of the case under this title." 11 U.S.C. §362(a)(2) (emphasis added). Bankruptcy Code §362(a)(3) operates as a stay against

Bankruptcy Code §362(d)(1) and the *Curtis* factors, and/or (b) the Debtor lacks equity in the Personal Property and it is not necessary to any possible effective reorganization; (iii) to the extent the stay is not lifted, requiring the Debtor to make adequate protection payments to Movants pursuant to Bankruptcy Code §361 in connection with the Personal Property which continues to diminish in value under the proposal set forth above; (iv) modifying and lifting the automatic stay under Bankruptcy Code §362 to permit the District Court to decide Gray's pending and fully-briefed petition for attorneys' fees; and (iv) for such other and further relief as this Court deems just and proper.

Dated: May 13, 2024

Respectfully submitted,

/s/
Aaron Halegua
Bruce Berline

Attorneys for Joshua Gray

/s/
Colin Thompson

Attorney for U.S.A. Fanter

Dated: May 13, 2024
Respectfully submitted,
/s/
Aaron Halegua
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